LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

WHAT IS IMPORT FINANCE?

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Chapter 1: Product Overview & Core Philosophy of Import Finance

Import Finance constitutes the core non-fund and fund-based credit architecture that facilitates cross-border commercial trade. In the domestic trade ecosystem, buyers and sellers frequently struggle with working capital mismatches, yet they operate under the jurisdiction of a single legal framework, currency, and national banking infrastructure. In international trade, however, transaction velocity is impeded by a profound double-coincidence of trust and physical distance. An exporter in Taipei is unwilling to ship sophisticated electronics without guaranteed cash-at-sight, while an importer in Mumbai is equally unwilling to advance multi-crore cash reserves before verifying the cargo bill of lading, shipping manifests, and customs entries.

Import Finance bridges this systemic trust and liquidity gap by introducing highly regulated, AAA-rated financial intermediaries—commercial banks—who stand as guarantors of payment. Lenders substitute the unrated credit profile of the Indian importer with their own institutional balance sheet strength. The primary objective is to allow the Indian buyer to secure a trade credit window (typically 30 to 180 days) to procure raw materials, complete manufacturing, and liquidate the inventory before the cash remittance falls due, while simultaneously providing the foreign supplier with immediate payment upon document presentation.

> **★ THE CORE PHILOSOPHY OF INTERNATIONAL TRADE GUARANTEES**
>
> Unlike domestic trade credit (which relies on mutual relationship vintage or local unsecured bank lines), Import Finance relies on the global standardisation of trade instruments. The non-fund-based Letter of Credit (LC) binds the importer's bank contractually to pay the exporter's bank strictly upon the presentation of conforming documents (such as Bills of Lading, Commercial Invoices, and Certificates of Origin). The bank's obligation to pay is completely independent of the underlying physical goods or sales contract, ensuring unconditional payment safety for the foreign exporter and transaction-based credit for the importer.

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Chapter 2: Structural Modalities & Comparative Trade Credit Taxonomy

A common point of confusion for finance rookies is the distinction between various import credit structures. Import Finance is not a single credit product but a modular suite of structured trade solutions. Lenders underwrite these solutions using either non-fund-based guarantees or fund-based overseas credit lines. The four most critical products are Sight Letters of Credit (Sight LC), Usance Letters of Credit (Usance LC), Supplier's Credit, and Buyer's Credit. The following table provides an exhaustive, comparative taxonomy.

Credit Parameter	Sight LC	Usance LC	Supplier's Credit	Buyer's Credit
Payment to Exporter	Immediate at Sight	Deferred (Usance)	Deferred (Usance)	Immediate (Sight)
Source of Funding	Importer's cash/CC	Importer's cash/CC	Exporter's trade book	Overseas bank line
Typical Interest Cost	Nil (fees only)	Nil (fees only)	Exporter spread	SOFR + Bank margin
RBI Regulatory Cap	N/A (Trade limit)	N/A (Trade limit)	Up to 1 yr for CapEx	Up to 1 yr for CapEx

★ Key Operational Takeaway: While a standard Usance LC gives the importer time to pay, the exporter must wait for payment until maturity. To solve this dual-side bottleneck, banks utilize the Usance Payable at Sight (UPAS) Letter of Credit. Under a UPAS structure, the importer enjoys deferred payment usance (e.g., 90 days), but the exporter receives cash at sight from an overseas correspondent bank. This leverages the low cost of global capital markets (SOFR-linked funding) to optimize transaction cash flows.

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Chapter 3: The Operational Lifecycle & SWIFT Integration Workflow

The operational lifecycle of Import Finance relies heavily on the Society for Worldwide Interbank Financial Telecommunication (SWIFT) network. SWIFT standardises financial messaging globally, ensuring that credit commitments issued in India are instantly recognised and legally binding upon overseas banks. The transaction workflow of a standard Letter of Credit consists of 5 core stages:

- **1. Commercial Contract & LC Application:** The Indian importer and foreign exporter execute a sales agreement. The importer applies to its bank (Issuing Bank) to open a Letter of Credit, depositing the required cash margins.
- **2. SWIFT Message MT700 Transmission:** The Issuing Bank transmits the LC digitally using the SWIFT MT700 message format to the Advizing Bank located in the exporter's country, establishing an irrevocable guarantee of payment.
- **3. Cargo Shipment & Presentation:** The exporter ships the goods, obtains the Bill of Lading, compiles the trade documents, and presents them to their Nominated Bank. The bank verifies document conformity under UCPDC 600 guidelines.
- **4. Discrepancy Check & Lodgement:** The documents are couriered to the Issuing Bank. If any discrepancies are found (e.g., spelling mismatch on Bill of Lading, over-shipped values), the bank flags a 'discrepancy' and seeks the importer's waiver before committing to payment.
- **5. Settlement & Import Bill Crystallisation:** On maturity or sight presentation, the Issuing Bank remits funds via SWIFT MT202. If the importer's account has insufficient balances to pay, the bank 'crystallises' the foreign currency liability into an INR-denominated demand loan to honor its global guarantee.

> **★ SWIFT TRANSACTION MESSAGE MATRIX**
>
> • MT700: Issue of a Documentary Credit (The baseline LC contract).
> • MT707: Amendment to a Documentary Credit (Used to extend validity dates or increase transaction values).
> • MT799: Free Format Message (Used for informal bank-to-bank trade clarifications and queries).
> • MT202: General Financial Institution Transfer (Used for bank-to-bank settlement clearing).

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Chapter 4: Credit Underwriting Standards & Importer Eligibility Criteria

Because Letters of Credit are non-fund-based facilities, credit underwriting relies heavily on transaction-backed analytics and corporate solvency assessments rather than traditional real estate collateral coverage. In traditional secured corporate loans, the bank underwrites against a 1.5x property mortgage. In Import Finance, the bank's exposure is secured by the underlying trade transaction itself, utilizing the following structured underwriting parameters:

- **1. Importer Onboarding and Vintage:** The importer must hold a valid Import Export Code (IEC) issued by the Director General of Foreign Trade (DGFT), maintain an active trading vintage of at least 2 to 3 years, and have a clean credit bureau footprint (CIBIL Score > 700 / CMR 1-4).
- **2. Transactional Stock Velocity and Leverage:** Lenders evaluate the importer's historical stock-to-sales velocity (turnover ratio). An importer with a slow stock rotation cycle (exceeding 90 days) carries a high risk of liquidity stress when import usance bills fall due.
- **3. Financial Ratio Standards:** Lenders enforce specific financial ratios: (a) Current Ratio of at least 1.33:1, (b) Debt-to-Equity (D/E) Ratio not exceeding 3:1, and (c) positive EBITDA trends to demonstrate cash-flow generation capability.
- **4. Supplier/Counterparty Underwriting:** The credit department evaluates the creditworthiness of the foreign exporter. Importing from unrated or blacklisted entities in high-risk jurisdictions is strictly prohibited under FATF and AML guidelines.

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Chapter 5: Legal Framework, Security & Documentation Requirements

Import Finance operates within a watertight statutory framework designed to maintain global financial stability, mitigate credit default risk, and prevent systemic trade fraud. The legal and security architecture in India is built upon three core pillars:

- **1. ICC UCPDC 600 Rules:** The Uniform Customs and Practice for Documentary Credits (UCP 600) is a set of international rules issued by the International Chamber of Commerce (ICC). These rules govern the legal interpretation of Letter of Credit transactions worldwide, ensuring standard rules for document examination and discrepancy notifications.
- **2. FEMA, 1999 & Foreign Exchange Dealer Association of India (FEDAI) Guidelines:** Under the Foreign Exchange Management Act (FEMA), all cross-border trade transactions must comply with RBI regulations. FEDAI rules govern foreign exchange booking contracts, crystallization of overdue bills, and interbank transaction settlements.
- **3. Security and Collateral requirements:** Lenders secure their exposure through: (a) Cash margins (typically 10% to 25% of the LC value, held as a lien on Fixed Deposits), (b) First charge on the imported goods via a Trust Receipt executed by the importer, and (c) personal guarantees of the promoter directors.
- **4. IDPMS Trade Verification:** To prevent double-financing and trade-based money laundering (such as fake invoicing or phantom imports), Indian banks utilize the RBI's Import Data Processing and Monitoring System (IDPMS). This platform digitally matches outward remittances with physical Bills of Entry (BoE) logged by the Customs Icegate system.

> **★ THE LEGAL MANDATE OF THE TRUST RECEIPT (TR)**
>
> When import documents arrive, they belong legally to the Issuing Bank. To allow the importer to clear the cargo from the customs port, manufacture, and sell the goods, the bank releases the documents of title against a legally binding 'Trust Receipt'. Under this receipt, the importer contractually agrees to hold the physical imported goods and any resulting sales receivables in trust for the bank, guaranteeing that sale proceeds will be directly swept into the bank's escrow account to liquidate the trade credit.

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Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem

Import financing represents a multi-billion-dollar credit ecosystem in India, driven by the nation's rising role in global manufacturing value chains. According to trade credit landscape analyses, public sector banks led by the State Bank of India (SBI) hold the largest institutional share, with SBI alone managing trade finance portfolios with hundreds of thousands of crores in outstanding exposures. Private sector lenders like HDFC, ICICI, and Axis Bank dominate digital trade portals and high-speed API integration platforms.

The demand for structured Import Finance is heavily concentrated in capital-intensive, high-velocity industries that depend on foreign sourcing. The core sectors include:

- • **Consumer Electronics and Mobile Manufacturing:** Under the 'Vision 2030' PLI framework, Indian electronics manufacturers import significant semiconductor chipsets and specialized electronic components from East Asia, utilizing structured UPAS LC and Supplier's Credit programs.
- • **Automotive and Heavy Engineering:** Automotive OEMs and tier-1 components manufacturers import specialised alloy steel, robotic machinery, and precision assemblies, relying on long-term CapEx term loans and trade letters of credit.
- • **Metals, Steel & Building Materials:** Primary metals manufacturers rely on bulk raw material imports (such as coking coal and high-grade scrap) that require sight or usance Letters of Credit with high-value transactional limits.
- • **Chemicals, Excipients & Pharmaceuticals:** Indian generic pharmaceutical majors import active pharmaceutical ingredients (APIs) and chemical intermediates from global suppliers, using short-term revolving import lines.

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Chapter 7: Commercial Mechanics, Pricing Components & Interest Arbitrage

The pricing structures of Import Finance are uniquely designed to align with international money markets. Unlike domestic Cash Credit lines linked solely to local benchmarks (MCLR/EBLR), import trade credits utilize a dual-rate pricing structure. The non-fund component carries transaction-based service fees, while any fund-based overseas credit lines are linked directly to international interbank benchmarks like the Secured Overnight Financing Rate (SOFR) or EURIBOR.

The primary commercial components of a revolving Import Finance line include:

- **1. LC Opening Commission (0.15% to 0.75% per quarter):** An upfront service fee charged by the Issuing Bank based on the LC transaction value and the active tenure of the credit line.
- **2. SWIFT and Telex Transmission Charges:** A flat administrative charge (ranging from ₹1,000 to ₹5,000) applied on each MT700 and MT707 transmission.
- **3. SOFR/EURIBOR Interest Spreads (1.0% to 2.5% p.a. over benchmark):** For fund-based Buyer's or Supplier's Credit, interest is computed as SOFR plus an agreed underwriting spread. Under RBI Master Directions, all trade credit interest spreads are strictly capped to safeguard Indian businesses from usurious offshore pricing.
- **4. Upfront Processing Fee and 18% GST:** Banks charge an annual limit-setup fee (0.1% to 0.25% of the sanctioned line). In accordance with Indian tax laws, Goods and Services Tax (GST) at 18% is applied strictly to all processing fees and commissions, while the actual interest components are completely GST-exempt.

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Chapter 8: Regulatory Compliance, IDPMS & Crystallization Covenants

Because import transactions leverage massive short-term credit from international banking channels, the Reserve Bank of India (RBI) enforces strict regulatory guidelines under FEMA to manage systemic trade risks. Three regulatory frameworks dominate the import credit ecosystem:

- **1. RBI Master Directions on Trade Credit:** The RBI strictly caps the tenure of trade credits (Buyer's and Supplier's Credit) for raw material imports to 1 year, or the company's operating cycle, whichever is less. For capital goods imports (machinery/CapEx), the usance tenure is permitted up to 3 years. The overall interest rate spread is capped at SOFR + 250 basis points.
- **2. IDPMS Bill of Entry Reconciliation:** Under FEMA, an importer must file a Bill of Entry (customs document certifying import arrival) with the AD bank within 21 days of shipment. If the importer fails to reconcile their outward trade remittances with custom entries, the IDPMS portal flags the company as 'caution-listed', which halts further import remittances and trade finance limits across all Indian banks.
- **3. Import Bill Crystallization Covenant:** If an import bill under an LC is not retired by the importer on its due date, FEDAI rules mandate that the bank must 'crystallize' the foreign currency liability into an INR liability on the 10th day after maturity. The bank converts the balance using its prevailing BC Selling Rate, applying penal interest (typically 18% p.a.) and transforming the non-fund exposure into an active, fund-based demand loan.

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Chapter 9: Real-World Case Study (UPAS LC vs. Standard Trade Credit)

To bridge the gap between financial theory and commercial trade operations, we analyze a detailed, mathematical case study of an Indian consumer electronics manufacturing enterprise based in Pune: Vibrant Electronics Pvt. Ltd.

Vibrant Electronics wishes to import a bulk consignment of high-precision semiconductor chipsets from an investment-grade exporter in Taipei, Taiwan. The contract value of the consignment is ₹10,00,00,000 (₹10 Crores). The Taiwan supplier requires a guaranteed sight cash payment on shipping to meet their own tight production cycles, whereas Vibrant Electronics requires a 90-day working capital cycle to receive the goods, assemble the smart panels, and collect receivables from local Indian distributors. The company's treasury compares two distinct financing paths:

Scenario A: Standard Sight LC with Cash Credit Drawdown

Under Scenario A, Vibrant Electronics opens a standard Sight Letter of Credit with its Indian bank at a 0.5% commission. Upon document arrival, the bank pays the Taipei supplier immediately. Because Vibrant's current account has insufficient cash balances, the bank executes a dynamic drawdown on Vibrant's revolving Cash Credit (CC) limit at an annual rate of 9.5% p.a. simple interest to fund the remittance, carrying this debt for the entire 90-day cycle.

- **1. LC Opening Commission:** ₹10,00,00,000 * 0.50% = ₹5,00,000
- **2. SWIFT and Telex Transmission Fees:** ₹25,000 flat
- **3. Upfront Bank Processing Fee & 18% GST:** Limit processing fee = ₹10,00,00,000 * 0.1% = ₹1,00,000. Plus GST at 18% = ₹1,18,000 (of which ₹18,000 is tax). Total fee and tax = ₹1,18,000.
- **4. 90-Day Cash Credit Drawdown Interest:** ₹10,00,00,000 * 9.5% * (90 / 365) = ₹23,42,466 simple interest.
- **5. Total Financial Cost (Scenario A):** ₹5,00,000 (commission) + ₹25,000 (SWIFT) + ₹1,18,000 (fees + GST) + ₹23,42,466 (interest) = **₹29,85,466**.

Scenario B: Usance Payable at Sight (UPAS) LC Structure

Under Scenario B, Vibrant Electronics utilizes an advanced, structured UPAS LC. The Indian bank issues a 90-day Usance LC to the exporter, but incorporates a special 'at sight' clause. Upon document presentation, the Indian bank's overseas correspondent bank (located in Singapore) pays the Taipei supplier at sight. The overseas bank funds this remittance using low-cost global trade finance lines linked to Secured Overnight Financing Rate (SOFR) benchmarks. Interest is charged to Vibrant Electronics at 3-Month SOFR (5.30%) plus an underwriting spread of 1.20%, totalling 6.50% p.a. simple interest. Vibrant Electronics pays the Indian bank in INR on Day 90.

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- **1. UPAS LC Opening Commission:** Vibrant pays a slightly higher composite commission of 0.75% for the usance-sight structure: ₹10,00,00,000 * 0.75% = ₹7,50,000.
- **2. SWIFT and Correspondent Bank Transmission Fees:** ₹35,000 flat
- **3. Upfront Bank Processing Fee & 18% GST:** Limit processing fee = ₹10,00,00,000 * 0.1% = ₹1,00,000. Plus GST at 18% = ₹1,18,000 (of which ₹18,000 is tax). Total fee and tax = ₹1,18,000.
- **4. 90-Day SOFR-Linked Interest Cost:** ₹10,00,00,000 * 6.50% * (90 / 365) = ₹16,02,740 simple interest.
- **5. Total Financial Cost (Scenario B):** ₹7,50,000 (commission) + ₹35,000 (SWIFT) + ₹1,18,000 (fees + GST) + ₹16,02,740 (interest) = **₹25,05,740**.

★ TREASURY UNIT ECONOMIC ANALYSIS & REVENUE SAVINGS

• Total Scenario A (Local CC Drawdown Cost): ₹29,85,466
• Total Scenario B (Overseas UPAS LC Cost): ₹25,05,740
• Net Financial Savings from Credit Arbitrage: **₹4,79,726** in cash savings!

By structuring the import transaction as a UPAS LC, Vibrant Electronics leverages its creditworthy Indian bank to secure cheap US dollar-linked SOFR funding. This credit arbitrage yields massive savings, allowing the firm to preserve valuable domestic bank margins for other operational activities.

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Chapter 10: Practice Examination & Test Questions (10 Core Modules)

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate a finance rookie's understanding of Indian Import Finance mechanics, legal structures, and regulatory covenants. Detailed analytical rationales are provided for every question to ensure mastery of the material.

Question 1 (Multiple Choice)
Under the Foreign Exchange Dealer Association of India (FEDAI) guidelines, within how many days must an overdue import bill under an outstanding Letter of Credit be crystallized by the Issuing Bank into a fund-based INR demand loan?

A) On the exact usance maturity date, with zero grace period.
B) Within a strict statutory window of 10 days from the maturity/due date.
C) Exactly 30 days from the date of shipment.
D) 180 days from the date of the Bill of Lading, in alignment with IRACP guidelines.

★ Rationale & Analysis:
Correct Option: B. Under FEDAI Rules, if an importer fails to pay/retire an import bill under an LC on its due date, the bank must 'crystallise' the foreign currency liability into an INR liability on the 10th day after maturity. Lenders convert the balance using their BC Selling Rate, applying penal interest and transforming the non-fund exposure into an active, fund-based demand loan to fulfill their unconditional global guarantee.

Question 2 (Multiple Choice)
What is the primary statutory purpose of the RBI's Import Data Processing and Monitoring System (IDPMS) in India?

A) To calculate dynamic import duties on custom electronics.
B) To automate SOFR interest rate swaps for commercial bank syndications.
C) To digitally match all outward trade remittances with custom Bills of Entry (BoE) to prevent capital flight.
D) To bypass the UCPDC 600 rules by issuing domestic e-bills.

★ Rationale & Analysis:
Correct Option: C. The RBI's IDPMS is a joint platform linking customs and banking channels. It digitally tracks and matches all outward trade payments with physical Bills of Entry (BoE) logged by the Customs Icegate system, preventing double-financing, trade money laundering, and illegal capital flight.

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Question 3 (Multiple Choice)
Under the RBI's Master Directions on Trade Credits, what is the maximum permissible usance/maturity cap for importing raw materials or general operational inputs?

A) Up to 3 years from the date of shipment.
B) Maximum of 1 year, or the company's operating cycle, whichever is less.
C) Up to 5 years, subject to the registration of a CERSAI charge.
D) Capped strictly at 30 days under FEMA guidelines.

★ Rationale & Analysis:
Correct Option: B. Under RBI directions, the maturity cap for trade credits (Buyer's and Supplier's Credit) is 1 year for raw materials, or the operating cycle, whichever is less. For capital goods imports (CapEx machinery), the maturity cap is permitted up to 3 years.

Question 4 (Multiple Choice)
Under a Usance Payable at Sight (UPAS) Letter of Credit structure, which entity provides the actual cash disbursal to the exporter on Day 1?

A) The Indian importer, from their domestic overdraft account.
B) The Indian bank's overseas correspondent bank (e.g., in Singapore or London).
C) The central bank of the exporter's country via a SWIFT clearing mandate.
D) The importer's corporate anchor, through Section 130 legal assignments.

★ Rationale & Analysis:
Correct Option: B. Under a UPAS LC, the Indian bank's overseas correspondent bank pays the exporter at sight, funding the payment through low-cost offshore trade finance lines. The Indian bank then collects the principal plus interest from the importer on Day 90/180 maturity, completing the credit loop.

Question 5 (Multiple Choice)
Under UCPDC 600 rules, how many banking days does an Issuing Bank have to examine trade documents presented under a Letter of Credit and decide whether to accept or reject them?

A) Exactly 1 business day.
B) A maximum of 5 banking days following the day of document receipt.
C) Up to 10 working days, subject to FEMA interest crystallization limits.
D) 30 calendar days, in alignment with customs icegate filings.

★ Rationale & Analysis:
Correct Option: B. Article 14 of the UCPDC 600 mandates that the Issuing Bank, confirming bank, or nominated bank shall have a maximum of 5 banking days following the day of presentation to examine the trade documents and decide whether to honor or flag any discrepancies.

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Question 6 (Multiple Choice)
How is Goods and Services Tax (GST) applied to the cost components of an Import Letter of Credit?

A) GST at 18% is applied to the entire face value of the import invoice.
B) GST at 18% is applied strictly to LC commissions, SWIFT fees, and limit-setup processing fees, while the trade interest components are completely exempt.
C) Import trade credit components are completely exempt from GST under export-import promotion schemes.
D) GST at 5% is applied strictly to foreign currency interest spreads.

★ Rationale & Analysis:
Correct Option: B. Under Indian tax guidelines, GST at 18% is applied to all service fees, including LC commissions, SWIFT fees, and limit processing charges. However, interest components (such as usance interest or crystallization interest) remain completely exempt from GST.

Question 7 (Multiple Choice)
Which SWIFT message is specifically used by an Issuing Bank to transmit a newly opened Letter of Credit to an advising bank?

A) SWIFT MT103
B) SWIFT MT700
C) SWIFT MT707
D) SWIFT MT799

★ Rationale & Analysis:
Correct Option: B. The SWIFT MT700 message is the global standard format for issuing a documentary credit (LC), irrevocably binding the issuing bank to the transaction terms. MT707 is used for amendments, MT799 for free format clarifications, and MT103 for clean, fund-based bank transfers.

Question 8 (Multiple Choice)
Under Section 130 of the Transfer of Property Act, 1882, how does a bank legally secure its charge over the import receivables when releasing the documents of title to the importer?

A) By physically sealing the importer's warehouse facilities.
B) By registering an absolute deed of legal assignment on book debts and securing a Trust Receipt.
C) By taking a mortgage on the promoter's residential properties.
D) By routing the physical trade goods through Exim Bank ports.

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★ Rationale & Analysis:
Correct Option: B. To release the shipping documents and allow the importer to clear cargo, the bank requires a signed Trust Receipt. This receipt acts as a legal assignment under Section 130, binding the importer to hold the physical goods and resulting receivables in trust for the bank, guaranteeing direct collection sweeps.

Question 9 (Descriptive Scenario)
A Mumbai-based electronics importer has been caution-listed on the RBI's IDPMS portal. What is the operational impact on the importer's active trade finance limits?

Answer & Rationale:
When an importer is caution-listed on IDPMS due to failure to submit Bills of Entry (BoE) within the mandatory 21-day reconciliation window, the impact is severe. All commercial banks (Authorized Dealers) in India are legally barred from executing any further outward remittances or opening fresh Letters of Credit for the company. The importer's existing trade finance limits are immediately frozen, and the company cannot clear customs consignments or secure overseas credits until customs and banking portals match the physical imports with historical payments.

Question 10 (Multiple Choice)
What is the maximum permissible interest rate spread (all-in-cost cap) mandated by the RBI for Trade Credits in India?

A) SOFR + 100 basis points p.a.
B) SOFR + 250 basis points p.a. over benchmark.
C) Linked to the bank's domestic MCLR plus a fixed 1% penal rate.
D) Capped strictly at a 12% flat annual interest rate.

★ Rationale & Analysis:
Correct Option: B. The RBI's Master Directions on Trade Credits strictly cap the all-in-cost ceiling for raising Buyer's or Supplier's Credit at **SOFR plus 250 basis points** (or alternative currency benchmarks like EURIBOR + 250 bps). This regulatory ceiling prevents offshore lenders from extracting usurious interest spreads from Indian corporate borrowers.

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